

Two-Step Quiz 3 Solutions

Step 1: Setup	Step 2: Execution
Question 1 $5620 = P \left(\frac{1 - \left(\frac{1.03}{1.06} \right)^5}{.06 - .03} \right) + P(1.03)^4(.98)(1.06)^{-5} \left(\frac{1 - \left(\frac{.98}{1.06} \right)^5}{.06 + .02} \right)$	Question 1 Answer: 720 Procedures: • Isolates P and solve (calculator)
Question 2 $\frac{P(1.05)}{.05} = Pa_{\overline{10} .05} + \frac{65}{.05} \left(a_{\overline{10} .05} - 10(1.05)^{-10} \right)$	Question 2 Answer: 155 Procedures: • Isolates P and solve (calculator)
Question 3 $22038 = 100a_{\overline{24} j} + 1000(1.06)^{-2} \left(\frac{1}{i} \right)$ where $j = (1.06)^{1/12} - 1$	Question 3 Answer: 4.5% Procedures: • Isolates i and solve (calculator)